ShramSetu AI

Comprehensive Reference Document

Employees' State Insurance Act, 1948 — Laws, Clauses & Benefits

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1. Overview of the Employees' State Insurance (ESI) Act, 1948

The Employees' State Insurance Act, 1948 is a comprehensive piece of social security legislation enacted by the Parliament of India. It came into force on 19th April 1948. The Act provides for certain benefits to employees in case of sickness, maternity, and employment injury, and to make provision for related matters.

The Act is administered by the Employees' State Insurance Corporation (ESIC), an autonomous body constituted under the Act. ESIC functions under the Ministry of Labour and Employment, Government of India.

> *Key Purpose: To provide social protection to workers in the organized sector against eventualities such as sickness, maternity, disablement, and death due to employment injury and to provide medical care to insured persons and their families.*

1.1 Legislative History & Amendments

- Original Act enacted on 19 April 1948
- Key amendments: 1966, 1975, 1984, 1989, 1997, 2010
- ESI (Amendment) Act, 2010: Extended coverage to additional sectors and establishments
- Wage ceiling enhanced progressively — currently Rs. 21,000 per month (since 2017)
- Wage ceiling for persons with disabilities: Rs. 25,000 per month

1.2 Geographical Applicability

The Act applies to the whole of India. ESIC has implemented the scheme in all states and union territories, though the pace of implementation varies by state. It applies to:

- All factories (excluding seasonal factories) using power and employing 10 or more persons
- All factories not using power employing 20 or more persons
- Shops, hotels, restaurants, cinemas, road motor transport establishments, newspaper establishments, private medical/educational institutions — employing 10 or more persons (in most states)
- Municipal corporations and local bodies where notified by Central/State Government

2. Key Definitions Under the Act

2.1 Section 2 — Definitions (Important Clauses)

Section 2(3): *"Confinement" means labour resulting in the issue of a living child, or labour after 26 weeks of pregnancy resulting in the issue of a child whether alive or dead.*

Section 2(5): *"Corporation" means the Employees' State Insurance Corporation.*

Section 2(6): *"Dependent" means any of the following relatives of an insured person — a widow, legitimate or adopted son under 25 years of age, unmarried legitimate or adopted daughter, widowed mother, and other specified relatives.*

Section 2(9): *"Employee" means any person employed for wages in or in connection with the work of a factory or establishment to which the Act applies. Includes persons employed through contractors.*

Section 2(10): *"Employer" means the owner or occupier of a factory or establishment and includes the legal representative, manager, agent, or person responsible for the management, supervision, and control.*

Section 2(11): *"Employment injury" means a personal injury to an employee caused by accident or an occupational disease arising out of and in the course of employment.*

Section 2(12): *"Factory" means any premises including the precincts thereof whereon ten or more persons are employed or were employed for wages on any day of the preceding twelve months.*

Section 2(14): *"Insured person" means a person who is or was an employee in respect of whom contributions are or were payable.*

Section 2(19A): *"Permanent partial disablement" means such disablement of a permanent nature as reduces the earning capacity of an employee in every employment he was capable of undertaking.*

Section 2(19B): *"Permanent total disablement" means such disablement of a permanent nature as incapacitates an employee for all work which he was capable of performing at the time of the accident.*

Section 2(20): *"Principal employer" means the owner or occupier of a factory, the head of a department, or a person responsible for supervision.*

Section 2(22): *"Sickness" means a condition which requires medical treatment and attendance and necessitates abstention from work.*

Section 2(23): *"Temporary disablement" means a condition resulting from an employment injury which requires medical treatment and renders an employee temporarily incapable of doing his work.*

Section 2(24): *"Wages" means all remuneration paid or payable in cash to an employee, including dearness allowance, house rent allowance, overtime, and incentives.*

3. Coverage & Eligibility — Detailed Rules

3.1 Wage Ceiling for Coverage (Section 2(9))

Category	Wage Ceiling	Effective Date
General Employees	Rs. 21,000 per month	1 January 2017
Persons with Disabilities	Rs. 25,000 per month	1 January 2017
Apprentices under Apprentices Act, 1961	Not Covered	Excluded
Workers drawing above wage ceiling	Not Covered	Unless voluntarily opted

3.2 Establishments Covered (Section 1(4) and 1(5))

- Factories using power: 10 or more workers
- Factories not using power: 20 or more workers
- Shops, hotels, restaurants, theatres: 10 or more employees (as notified)
- Private educational institutions (medical, dental, nursing, pharmacy, para-medical): 10 or more employees
- Road motor transport establishments: 10 or more employees
- Newspaper establishments: 20 or more employees
- Contract labour is also covered under the act through the Principal Employer

3.3 Exemptions (Section 87–91)

- Seasonal factories (defined under Factories Act) for certain provisions
- Mines governed by the Mines Act, 1952
- Railway employees — covered under separate Railway Health Service
- Members of Armed Forces
- Establishments already providing superior benefits — can apply for exemption under Section 87

4. Contribution Structure — Detailed Breakdown

4.1 Contribution Rates (Section 39–45)

> *Contribution Period: April to September (First), October to March (Second). Benefits are linked to contribution periods.*

Category	Employee Share	Employer Share	Total
Regular Employees	0.75% of wages	3.25% of wages	4.00%
Employees earning up to Rs. 137/day	NIL (Exempted)	3.25% of wages	3.25%
State Government's Share	—	1/8th of expenditure on medical benefit	Varies

4.2 Wage Components for Contribution Calculation

The following components of wages are included for ESI contribution calculation:

- Basic Salary / Wages
- Dearness Allowance (DA)
- House Rent Allowance (HRA)
- City Compensatory Allowance
- Overtime wages (included for contribution but not for benefit calculation)
- Incentives and production bonus
- Attendance bonus and leave encashment paid monthly

The following are EXCLUDED from wage calculation:

- Annual bonus (under Payment of Bonus Act)
- Retrenchment compensation
- Gratuity payable on discharge
- Encashment of leave at the time of retirement
- Contributions to PF or ESI paid by employer

4.3 Contribution Deposit Timeline (Section 40)

- Employer must deposit ESI contributions within 21 days from the last day of the calendar month
- Electronic payment through ESIC portal (esic.in)
- Default in payment attracts interest at 12% per annum (Section 85B)
- Penalty provisions apply under Section 85 for false statements or failure to pay

5. Benefits Under ESIC — Complete Guide

5.1 Medical Benefit (Section 46(1)(a) and 49–51)

Eligibility

- Available from the very first day of employment in a covered establishment
- No minimum contribution period required for medical benefit
- Covers insured person AND their entire family (spouse, children, dependent parents)

Coverage

- Full medical care in ESIC hospitals, dispensaries, and empanelled hospitals
- Out-patient treatment, in-patient hospitalization, specialist consultations
- Medicines and consumables — free of cost
- Diagnostic tests and pathology services
- Maternity care and child welfare services
- Family planning services
- Emergency treatment — available at any ESIC hospital

Clause Reference

Section 49: *The Corporation shall establish medical care through medical officers and shall make arrangements for in-patient treatment in hospitals.*

Section 51: *An insured person who is entitled to medical benefit may also receive such benefit when travelling to and from the employer's premises.*

Super Specialty Treatment

- Available through empanelled hospitals (CGHS and private hospitals)
- Covers cardiac surgery, organ transplant, cancer treatment, neurological procedures
- Reimbursement available if treatment taken at non-ESIC facility due to emergency

5.2 Sickness Benefit (Section 46(1)(b) and 55–56)

Eligibility Conditions

- Must have paid contributions for at least 78 days in the corresponding contribution period
- Must obtain a medical certificate from an ESIC doctor
- Sickness must be certified as requiring absence from work

Rate and Duration

Type	Rate	Duration
Standard Sickness Benefit	70% of wages (Standard Benefit Rate)	Maximum 91 days per year

Type	Rate	Duration
Extended Sickness Benefit (ESB)	80% of wages	Up to 2 years for specified long-term diseases
Enhanced Sickness Benefit	100% of wages	For sterilization — 7 days (male), 14 days (female)

Diseases Covered under Extended Sickness Benefit

- Tuberculosis (TB)
- Mental diseases
- Malignant diseases (Cancer)
- Leprosy
- Hepatitis B and C
- Neurological and cardiovascular diseases specified by ESIC

Section 56: *An insured person shall be entitled to receive sickness benefit in respect of any day on which he is incapable of work due to illness, provided he has undergone the requisite qualifying period of contribution.*

5.3 Maternity Benefit (Section 46(1)(c) and 50)

Eligibility

- Insured woman must have paid contributions for at least 70 days in the preceding two contribution periods
- Applicable to all insured women employees regardless of type of employment

Benefits at a Glance

Event	Benefit Rate	Duration
Normal Delivery / Adoption	100% of wages	26 weeks (including 8 weeks pre-delivery)
Miscarriage / MTP	100% of wages	6 weeks from date of miscarriage
Illness arising from pregnancy/delivery	100% of wages	Additional 1 month
Adoption of child below 3 months	100% of wages	12 weeks from adoption
Surrogacy (commissioning mother)	100% of wages	26 weeks

Section 50: *A woman who is or has been an insured person shall be entitled to receive Maternity Benefit at the Standard Benefit Rate from the beginning of the six weeks immediately preceding the expected date of confinement.*

Additional Maternity Provisions

- Confinement Expenses: Rs. 5,000 lump sum if confinement occurs at a non-ESIC facility
- Nursing allowance may be extended by 1 month in case of illness certified by ESIC doctor
- Protection against dismissal during maternity leave period

5.4 Disablement Benefit (Section 46(1)(d) and 51A–54)

Types of Disablement

A. Temporary Disablement Benefit (TDB)

- Available from day 1 of employment — NO minimum contribution period required
- Rate: 90% of wages (as per Standard Benefit Rate)
- Payable for the entire duration of temporary incapacity
- No maximum limit on duration

> **Section 51A:** *Subject to the provisions of this Act, an insured person who sustains temporary disablement shall be entitled to receive Temporary Disablement Benefit at the Standard Benefit Rate for the period of disablement.*

B. Permanent Partial Disablement Benefit (PPDB)

- Assessed by Medical Board based on percentage of loss of earning capacity
- Rate: Percentage of loss of earning capacity x 90% of wages
- Paid as a monthly pension for life
- Example: If 40% permanent disability → 40% x 90% of wages = monthly pension

C. Permanent Total Disablement Benefit (PTDB)

- Rate: 90% of wages — paid as monthly pension for life
- Payable when employee is incapacitated for ALL work
- Includes a lump sum option (commutation of pension) under certain conditions

> **Section 54:** *In the case of permanent disablement, the disablement benefit shall be a periodical payment at a rate proportionate to the degree of disablement as certified by a Medical Board.*

5.5 Dependants' Benefit (Section 46(1)(e) and 52–52A)

Eligibility

- Payable when an insured person dies due to employment injury or occupational disease
- No minimum contribution period required — available from day 1

Eligible Dependants and Share

Dependent	Share of Benefit	Condition
Widow	3/5ths of Standard Benefit Rate	Until remarriage
Widowed Mother	2/5ths of Standard Benefit Rate	For life
Sons (legitimate/adopted)	2/5ths share	Until age 25
Daughters (unmarried)	2/5ths share	Until marriage
Other dependants	2/5ths shared equally	As specified in Second Schedule

> *Total Dependants' Benefit: Distributed among eligible dependants such that total does not exceed 90% of Standard Benefit Rate of the deceased insured person.*

Section 52: *Subject to the provisions of this Act, the dependants of an insured person who dies as a result of an employment injury sustained as an employee shall be entitled to periodical payments as Dependants' Benefit.*

5.6 Other Benefits

A. Funeral Expenses (Section 46(1)(f))

- Lump sum payment of Rs. 15,000 to the eldest surviving member of the family
- Payable to the person who actually incurs the funeral expenses
- Must be claimed within 3 months of death
- Available from day 1 — no minimum contribution required

B. Rehabilitation Allowance

- Payable during vocational rehabilitation at a training institute after permanent disablement
- Equal to the Temporary Disablement Benefit rate
- Covers period of actual attendance at rehabilitation center

C. Unemployment Allowance (Under Rajiv Gandhi Shramik Kalyan Yojana — RGSKY)

- Available to insured persons who become unemployed involuntarily after 3 years of insurance
- Rate: 50% of Standard Benefit Rate for up to 2 years
- Conditions: Closure of factory, retrenchment, or permanent invalidity
- Medical benefit and vocational training also provided during unemployment period

D. Vocational Training

- ESIC provides vocational/skill training to permanently disabled workers
- Rehabilitation Allowance paid during training period
- Training through National Rehabilitation Centers and ESIC-approved institutes

6. Registration Process — Employer & Employee

6.1 Employer Registration (Section 2A and Section 97)

1. Visit ESIC Employer Portal: www.esic.in
2. Click on 'Employer Login' → 'Sign Up'
3. Fill in establishment details: name, address, type, number of employees
4. Submit required documents:
    - Certificate of Registration / Partnership Deed / MOA-AOA
    - PAN Card of establishment
    - Address proof of establishment
    - Bank account details
    - List of employees with wages
5. System generates unique 17-digit ESIC code number
6. Employer registration must be done within 15 days of becoming coverable

6.2 Employee Registration — Pehchan Card

7. Employer files employee details on ESIC portal
8. Each employee gets a unique 10-digit Insurance Number
9. ESIC Pehchan (identity) card issued — contains photo, insurance number, family details
10. Employee can self-register on ESIC IP Portal using insurance number and date of birth
11. Family members must be registered by employer/employee for medical benefit

6.3 Documents Required by Employee

- Passport-size photograph (2 copies)
- Aadhaar Card
- Date of Birth proof (birth certificate, school certificate, Aadhaar)
- Nomination form (Form 1)
- Bank account details with IFSC code
- Family member details with relationship proof

7. Claim Filing Process — Step by Step

7.1 Sickness Benefit Claim

12. Employee falls sick and obtains medical certificate from ESIC doctor / dispensary
13. Submit Form 9 (Claim for Sickness/Temporary Disablement Benefit) to ESIC office or Branch office
14. Employer must certify the absence from work
15. ESIC verifies contribution records
16. Payment transferred directly to employee's bank account

7.2 Maternity Benefit Claim

17. Insured woman submits Form 9 to ESIC Branch Office before delivery
18. Medical certificate from ESIC doctor confirming pregnancy
19. Benefit can be claimed from 6 weeks before expected delivery date
20. Post-delivery, submit proof of delivery (birth certificate)
21. Payment processed within 15 days of claim

7.3 Disablement Benefit Claim

22. Report injury to employer immediately
23. Employer notifies ESIC Branch Office through Accident Report (Form 12)
24. Employee receives treatment at ESIC hospital
25. ESIC doctor certifies nature and duration of disablement
26. For permanent disablement — Medical Board assessment
27. Benefit amount calculated and paid monthly

7.4 Dependants' Benefit Claim

28. Family member submits claim to ESIC Branch Office within 3 years of death
29. Required documents: death certificate, relationship proof, employment proof
30. ESIC verifies that death was due to employment injury
31. Dependants identified as per Second Schedule of the Act
32. Monthly pension credited to dependant's bank account

8. Employer Obligations Under the Act

8.1 Mandatory Obligations (Sections 38–44)

- Register the establishment with ESIC within 15 days of becoming coverable
- Register all eligible employees at the time of joining
- Deduct employee contribution (0.75% of wages) from salary monthly
- Deposit total contribution (employer + employee share) by 21st of each month
- Maintain Employee Register in Form 7
- Maintain Accident Book as per ESIC regulations
- Display ESIC registration certificate at workplace
- Submit half-yearly contribution returns (Form 5)

8.2 Penalty for Non-Compliance (Section 85)

Violation	Penalty
Failure to register establishment	Imprisonment up to 5 years OR fine up to Rs. 25,000, or both
Failure to pay contributions	Interest @ 12% per annum + damages @ 5% to 25%
Making false statements	Imprisonment up to 2 years OR fine up to Rs. 5,000
Obstruction of ESIC Inspector	Imprisonment up to 2 years OR fine up to Rs. 5,000
Subsequent offences	Double the penalty prescribed for the first offence

Section 85: *If any employer fails, without reasonable cause, to pay the contribution payable under this Act within the time specified, he shall be punishable with imprisonment for a term which may extend to three years and with fine.*

8.3 Recovery of Contributions (Section 45–45C)

- ESIC has powers to recover unpaid contributions as arrears of land revenue
- Attachment and sale of moveable and immoveable property of defaulting employer
- Director General of ESIC can issue certificate for recovery to Collector
- Employees cannot be denied benefits due to employer's default in contribution

9. Grievance Redressal & Legal Remedies

9.1 Employee Grievance Mechanisms

- Branch Manager at local ESIC office — first point of contact
- Regional Director's Office for escalation
- Online grievance portal: esic.in → Grievance Redressal
- ESIC Headquarters — if regional resolution not obtained
- Email: pgportal.gov.in (Public Grievance Portal — Central Government)

9.2 Employees' Insurance Court (Section 74–77)

Any dispute arising under the Act (other than those related to medical benefit) shall be decided by the Employees' Insurance Court (EIC).

- Jurisdiction: Disputes regarding applicability, contribution amount, benefits, etc.
- Application to EIC to be filed within 3 years from date of dispute arising
- Court can call for records, summon witnesses, and order payment
- Appeal from EIC lies to High Court only on substantial question of law (Section 82)

Section 74: *The State Government shall by notification establish one or more Employees' Insurance Courts for such local areas as may be specified in the notification.*

Section 75: *If any question or dispute arises as to whether an establishment is a factory or whether a person is an employee or principal employer, it shall be decided by the Employees' Insurance Court.*

9.3 Sample Complaint Draft for ESIC Non-Registration

> *The following is a model complaint template for workers whose employer has not registered under ESIC despite being eligible. Workers can use this to file a complaint with the ESIC Regional Office.*

To,The Regional Director,Employees' State Insurance Corporation,[City/District Name]Subject: Complaint Regarding Non-Registration Under ESICRespected Sir/Madam,I, [Your Full Name], am employed at [Employer/Company Name] located at [Address] since [Date of Joining]. My monthly salary is Rs. [Amount], which is within the ESIC wage ceiling of Rs. 21,000.Despite meeting all eligibility criteria, my employer has not registered the establishment under ESIC, nor deducted or deposited ESI contributions on my behalf. I am being denied the social security benefits I am legally entitled to.I request you to kindly investigate this matter, direct my employer to register under ESIC, deposit contributions from my date of joining, and ensure I receive my Pehchan Card and all due benefits.Required Action: Registration of establishment, backdated contribution deposit, and insurance card issuance.Yours faithfully,[Your Name][Address][Contact Number][Date]

10. Important Forms Under ESIC

Form No.	Purpose	Filed By
Form 1	Nomination and Declaration Form	Employee (at time of joining)
Form 3	Return of Declarations	Employer
Form 5	Contribution cum Return	Employer (half-yearly)
Form 7	Register of Employees	Employer (maintained)
Form 9	Claim for Sickness / Maternity / Disablement Benefit	Employee through ESIC doctor
Form 10	Continuation Certificate for Sickness Benefit	ESIC Medical Officer
Form 12	Accident Report	Employer (within 24 hours of accident)
Form 14	Claim for Permanent Disablement Benefit	Insured Person
Form 15	Claim for Dependants' Benefit	Dependant
Form 19	Claim for Funeral Expenses	Nominee / Eldest family member
Form 20	Claim for Rehabilitation Allowance	Insured Person
Form 23	Life Certificate for Dependants' Benefit	Dependant (annually)

11. Key Sections of the ESI Act — Quick Reference

Section	Heading	Key Provision
1	Short title, extent, commencement	Act applies to whole of India; factories and notified establishments
2	Definitions	Defines employee, employer, wages, sickness, disablement, etc.
2A	Registration of Factories and Establishments	Mandatory registration within 15 days
38	Employees to be insured	All employees in covered establishments must be insured
39	Contributions	Employer and employee both to contribute; rates fixed by Central Govt
40	Principal Employer to pay contributions	Principal employer liable for contractor workers' contributions too
42	Obligation to furnish returns	Employer must submit returns and maintain records
44	Obligations of employees	Employee must cooperate in registration and inform of changes
46	Benefits	Specifies 6 types of benefits: medical, sickness, maternity, disablement, dependants', funeral
47	Employer not to dismiss employee during sick period	Cannot dismiss insured person during sickness, maternity, or TB
51A–54	Disablement Benefits	Temporary and permanent disablement benefits and calculation
61	Bar against receiving more than one benefit	Cannot receive sickness and maternity benefit simultaneously
72	Protection against attachment	Benefits cannot be attached, seized, or set off against debt
74	Employees' Insurance Court	Disputes to be adjudicated by EIC
85	Punishment for certain offences	Penalties for non-registration, false statements, contribution default
85B	Power to recover damages	ESIC can levy damages 5–25% for late payment of contributions

12. Important Portals & Contact Information

Resource	Details
Main ESIC Portal	www.esic.in
IP Portal (Employee Self-Service)	www.esic.in/ESICInsurancePortal/
Employer Portal	www.esic.in (Employer Login)
Online Grievance	pgportal.gov.in
ESIC Hospital Locator	www.esic.in/hospital-locator
Helpline Number	1800-11-2526 (Toll Free)
ESIC Headquarters	Panchdeep Bhawan, C.I.G. Marg, New Delhi - 110002
ESI Act Download	labour.gov.in → Acts & Rules → ESI Act 1948

13. ShramSetu AI — Prototype Implementation Guide

13.1 Eligibility Logic for ESIC Chatbot

> *This section is specifically for the development team. It maps the legal provisions to the chatbot decision logic.*

Primary Eligibility Decision Tree

- INPUT 1: Monthly Salary → If > Rs. 21,000 → NOT ELIGIBLE → Display reason + suggest alternate schemes
- INPUT 2: Is employer registered under ESIC? → If NO → FLAG complaint option → Generate complaint draft
- INPUT 3 (optional): Employment type → Contractual workers → Same eligibility rules apply
- INPUT 4 (optional): Is person with disability? → Wage ceiling = Rs. 25,000
- If ALL criteria met → ELIGIBLE → Display benefits + next steps + nearest ESIC hospital

Benefits Response Mapping

- Salary within limit + employer registered → Show all 6 benefits with simple descriptions
- New joiner (Day 1) → Highlight: Medical benefit from day 1, disablement benefit from day 1
- Female employee → Highlight maternity benefit (70 days contribution condition)
- Sickness inquiry → Show: 78 days contribution requirement + 70% wage rate + 91 day limit

Complaint Generator Logic

- Trigger: Employer not registered OR contributions not deposited
- Template: Pre-fill complaint with worker's inputs (name, employer, salary, joining date)
- Output: Formatted complaint letter to ESIC Regional Office
- Language: Hindi and English versions

13.2 Key Numbers to Hardcode

Parameter	Value
ESI wage ceiling (general)	Rs. 21,000/month
ESI wage ceiling (disability)	Rs. 25,000/month
Employee contribution rate	0.75% of wages
Employer contribution rate	3.25% of wages
Sickness benefit rate	70% of wages
Sickness benefit max duration	91 days/year
Maternity benefit rate	100% of wages
Maternity benefit duration	26 weeks
Disablement benefit rate	90% of wages

Parameter	Value
Dependants' benefit rate	90% of wages (distributed)
Funeral expenses	Rs. 15,000 (lump sum)
Confinement expenses (non-ESIC)	Rs. 5,000 (lump sum)
Min contribution days (sickness)	78 days per contribution period
Min contribution days (maternity)	70 days in last 2 periods
Late payment interest rate	12% per annum
ESIC Helpline	1800-11-2526 (Toll Free)

This document is prepared for ShramSetu AI — AI for Bharat Hackathon 2026

Sources: Employees' State Insurance Act, 1948 | ESIC Official Website | Ministry of Labour & Employment, GoI